

2004 and each of them was replacement for old aircraft. Similarly, the AI order too was to replace aircraft over 18 years old. We assumed a modest 5 per cent growth plan. And how can you run an airline without upgrading its fleet? If you want to fly you need to have aircraft.

Q. Your critics suggest that the fleet acquisition plan was forced on airlines.

A. Not at all. As I said earlier, the airlines decided on the fleet plan. Besides acquisition of this scale is not a one-man or one-ministry decision. There is a due process.

Q. It is being alleged that bilaterals, or allowing too many flights of foreign airlines have grounded the Maharajah.

A. Does India's growth needs to be dependent on the national carrier? Is the Ministry of Civil Aviation the ministry for the national carrier? Even today AI does not fly from major cities like Kolkata or Chennai to destinations

in the West. Should we provide connectivity to a growing economy or not? Two million Indians work in the UAE. Should we deny their airlines access, and our people connectivity? Also, every bilateral is a reciprocal arrangement. If the foreign carriers saw business opportunity, didn't AI? If Gulf carriers are flying across India what is stopping AI from doing hourly flights to capture the traffic? And remember, bilaterals are issued only with the approval of the Ministry of External Affairs.

Q. But the airlines did object to the scale of acquisitions or on bilaterals....

A. No, never. Remember, all aircraft acquisitions and bilaterals are cleared by the Cabinet.

Q. Whose idea was the merger? Why is it a disaster?

A. The concept of one carrier for domestic traffic and one for international was okay in a monopoly era. As foreign airlines started flying in and private airlines flew abroad, it was necessary to infuse fresh capital, upgrade fleet and restructure the organisation to enable it to face competition. The current crisis is partly the result of the airlines failing to push through the merger. If Jet and Kingfisher can do it why can't IA and AI.

Q. What is the road ahead?

A. The airline has to shape up. The people have to demonstrate commitment. I think a turnaround is definitely achievable. I have been advising them, cautioning them for three years that if they don't perform they will perish. The mindset seems to be that nothing can go wrong for a national carrier. This has to change. How long can the Government support without commitment from employees? The Government will help but employees must show commitment.

Q. There are rumours that suggest you want to disinvest the airline for Jet or Kingfisher to acquire.

A. Absolute and utter rubbish. What are you suggesting? Are Jet and Kingfisher in any position to acquire? Are they not in trouble themselves?



"RUMOURS ABOUT PLANS TO DISINVEST THE AIRLINE ARE ABSOLUTELY BASELESS."

a whopping \$10 billion. Backed by the Left Front, he also pushed for the long-discussed AI-IA merger. In theory, as that is what consultants Accenture suggested, the merged entity would save Rs 600 crore in costs and enable the airlines to compete and deliver profits.

On the runway, though, the theory didn't quite take off. When aircraft did arrive, the airlines had not planned for crew and marketing. Over a dozen aircraft, including brand new 777s were idling as the interest meter ticked at the banks. Yield per passenger km has dropped to Rs 3 and just a 10 paise drop would translate into Rs 300 crore

“The decision to merge AI and IA and large-scale aircraft acquisition have backfired. Accountability must be fixed.”

RAJIV PRATAP RUDY, former Civil Aviation Minister

losses. There is no progress on restructuring, productivity or market share acquisition either. Even today, the merged entity has two directors each, for operations, engineering, finance and, till recently, for HR, too. Four of 10 seats go empty; it loses Rs 1,200 crore on just 10 routes and continues to be two airlines under one name.

Neither of the former CMDs, V.

Thulasidas or Raghu Menon nor Ashok Chawla (former aviation and now finance secretary) could stem the rot. As private airlines were allowed to fly abroad and foreign airlines allowed access to tier-II towns, the national carrier found itself battered by competition. Rising fuel prices and the meltdown that has felled airlines world over virtually grounded it. Interestingly, National